CASCADIA ANALYTICS

Boston Scientific

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Guidance Resets Clear the Path to Multiple Expansion

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Market apprehension surrounding consecutive FY26 guidance cuts overlooks the structural cash-generation capabilities and pricing power embedded across Boston Scientific's interventional cardiology portfolio. While consensus extrapolates quarterly electrophysiology deceleration into structural obsolescence, operational execution across international geographies and strict operating cost containment preserve operating margin resilience above 28%. Disciplined portfolio reinvestment and strategic entries into adjacent medtech domains position the enterprise to compound free cash flow through our FY2027 to FY2036 forecast window. We reiterate our Buy rating with a probability-weighted blended target of $70.27, representing +66.4% upside against the reference spot price.

BUY	$70.27	+66.4%	$42.22
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The broader market treats successive FY26 organic growth reductions as evidence of terminal cardiovascular market saturation. In contrast, our quantitative framework recognizes that structural procedure backlogs, international market adoption, and clinical trial validation support long-term normalized cash compounding well beyond the current cyclical recalibration.

Executive summary

Boston Scientific operates as a medical device maker selling cardiology, endoscopy, and interventional products to hospitals and clinics across the globe. The enterprise retains critical competitive positioning within catheterization labs and procedural suites, anchoring hospital purchasing protocols through high-volume therapeutic categories. Over the historical baseline of FY2025, Boston Scientific generated $20.1B in revenue, reflecting 19.9% reported top-line expansion, backed by $13.9B in gross profit and $5.10B in EBITDA. Operating income reached $3.61B for an operating margin of 18.0%, converting into $2.90B of net income and $3.40B of free cash flow, representing a 17.0% free cash flow margin. At the reference spot price of $42.22, the equity commands a market capitalisation of $62.3B, trading at an EV to revenue multiple of 3.6x and an EV to EBITDA multiple of 14.1x.

Recent operational performance illustrates a transitional phase where extraordinary product cycles give way to normalized market dynamics. In Q3 FY2025, net sales expanded 15.3% organically to $5.07B, exceeding the company guidance range of 12-14%, driven by 19.4% organic growth in cardiovascular lines and adjusted EBITDA margin of 30.1%. Momentum carried through Q4 FY2025, which registered $5.29B in net sales, up 12.7% organically, bringing full-year organic revenue growth to 15.8% and adjusted EPS to $0.80. However, FY2026 performance encountered market headwinds. In Q1 FY2026, despite 9.4% organic growth and adjusted EPS of $0.80, management reduced full-year organic targets from 10-11% to 6.5-8.0%. In Q2 FY2026, organic sales grew 7.0% to $5.44B and adjusted EPS reached $0.86, but management cut FY26 organic guidance further to 5.0-6.0%, lowering adjusted EPS guidance to $3.28-3.32 as cardiovascular organic expansion slowed to 7.8%.

The firm's capital structure and balance sheet profile provide solid downside security throughout this cyclical normalization. Boston Scientific concluded FY2025 with $1.97B in cash against total debt of $11.4B, yielding net debt of $9.47B. Return on equity stood at 12.0%, reflecting sustained capital efficiency across procedural divisions. Management has aggressively utilized balance sheet capacity to stabilize per-share economics, executing a $2B accelerated buyback during Q2 FY2026. Strategic balance sheet deployment also supported business development, including the announced acquisition of Penumbra to establish a direct presence in thrombectomy alongside integration of Axonics, Nalu, and Valencia to broaden neuromodulation and adjacent medtech categories.

Operational snapshot

$42.22	$20.1B	$3.40B	17.0%	$9.47B	$42.22
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	NET DEBT	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Entrenched and Specialized

Boston Scientific derives durable economic rent from steep hospital switching barriers and deep clinical specialization. In acute care environments, switching procedural device suppliers requires institutional retraining of surgical staff, recalibration of hospital procurement networks, and clinical liability adjustments. In electrophysiology and structural heart interventions, where cardiac electrophysiologists build muscle memory around specialized steerable sheath mechanics and deployment systems, brand switching costs remain prohibitive. This behavioral lock-in ensures that procedural volumes remain resilient within installed catheter lab accounts even when rival technologies introduce temporary price concessions.

Regulatory moats further solidify the firm's entrenched position across tertiary hospitals and specialty clinics. Landmark randomized trials generate clinical moats that competitors cannot easily duplicate without capital-intensive, multi-year clinical trials. Evidence from the CHAMPION-AF trial confirmed WATCHMAN FLX as superior as first-line therapy, cementing its standard-of-care position. Similarly, the ADVENT trial demonstrated four-year FARAPULSE superiority over conventional thermal ablation techniques, establishing a clinical baseline that protects premium pricing and supports hospital reimbursement schedules against generic or legacy interventional devices.

The company also benefits from broad institutional integration across cardiology, endoscopy, and interventional procedural suites. By bundling high-margin disposable consumables, capital console platforms, and specialized delivery catheters, Boston Scientific retains preferred vendor standing within group purchasing organizations. This multi-suite footprint insulates cash flows from isolated pricing pressure, allowing the organization to defend operating margins above 28% despite deceleration across specific domestic procedure lines.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework synthesizes ten-year structural free cash flow projections across three rigorously modeled operating paths from FY2027 through FY2036. The base case model projects a 5.0% revenue CAGR with final-year free cash flow margins expanding to 22.1%, yielding a standalone equity value of $68.38 per share, which represents +62.0% upside. Under this baseline path, international market penetration across Asia-Pacific and Latin America offsets US electrophysiology share adjustments, while hospital procurement volumes stabilize in legacy endoscopy and interventional procedures.

The bull case models a 7.0% revenue CAGR paired with terminal free cash flow margins reaching 25.0%, generating a fair value of $92.20 per share, or +118.4% upside. This dynamic reflects comprehensive pipeline execution, accelerated thrombectomy cross-selling following the Penumbra transaction, and sustained pulsed field ablation supercycle adoption. Conversely, the bear case assumes structural growth deceleration to a 3.0% CAGR and a 20.1% final-year

free cash flow margin, producing a target of $52.13 per share, representing +23.5% upside against the reference spot price. Weighting the scenarios 25% bear, 50% base, and 25% bull produces our probability-weighted blended target price of $70.27 per share.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	3.0%	20.1%	$52.13	+23.5%
Base	50%	5.0%	22.1%	$68.38	+62.0%
Bull	25%	7.0%	25.0%	$92.20	+118.4%

Bear $52.13

Cardiovascular growth decelerates into low single digits as US electrophysiology competitors erode procedural share and WATCHMAN organic growth remains limited to 3%. Opex increases outpace top-line growth, constraining final forecast year free cash flow margins to 20.1% alongside a 3.0% top-line CAGR.

Base $68.38

Organic revenue expands at a 5.0% CAGR through FY2036 as international expansion in APAC and LACA counterbalances US procedural normalization. Free cash flow margins normalize toward 22.1%, supported by SG&A discipline and steady conversion of operating profit into cash flow.

Bull $92.20

Cardiovascular adoption re-accelerates behind FARAPULSE international indications and Penumbra thrombectomy integration, driving a 7.0% revenue CAGR. High operational leverage and manufacturing scale lift terminal free cash flow margins to 25.0%, delivering substantial equity appreciation.

Valuation framework

A live discount rate, not a static hurdle

Cascadia Analytics applies an empirically derived WACC of 7.21% across all three operating scenarios. This discount rate reflects the verified corporate capital structure, balancing low-cost senior fixed-rate debt of $11.4B against market equity value of $62.3B across 1.48 billion diluted shares. The 7.21% hurdle rate accurately captures the non-cyclical nature of acute hospital inpatient admissions and essential catheterization lab spending, which remain resilient across broader macroeconomic fluctuations.

The market's current equity valuation, reflecting a P/E multiple of 21.8x against FY2025 diluted EPS of $1.94, prices an excessively punitive cost of equity into Boston Scientific. By applying a 7.21% discount rate and a conservative 2.0% terminal growth rate, our model confirms that prevailing market pricing at $42.22 assumes cash flow degradation far worse than the baseline operational trajectory revealed in recent quarterly filings.

FCF margin normalization is the engine

The transition from reported FY2025 free cash flow margin of 17.0% to our modeled target margins of 20.1% in the bear scenario, 22.1% in the base scenario, and 25.0% in the bull scenario forms the fundamental core of our investment thesis. In FY2025, Boston Scientific translated $20.1B in revenue into $3.40B in free cash flow, operating with an 18.0% operating margin and a 69.0% gross margin. As temporary acquisition onboarding expenditures normalize, operating cash flow conversion will naturally strengthen.

Furthermore, recent quarterly trends confirm sustained underlying margin resilience. In Q2 FY2026, adjusted operating margin expanded to 28.3% compared to 27.6% in the prior year period, illustrating that management can leverage general and administrative expense discipline even when quarterly top-line revenue growth moderates to 7.0%. As manufacturing efficiencies scale across cardiology and endoscopy manufacturing hubs, structurally lower working

capital intensity will support robust cash flow generation across the FY2027 to FY2036 projection window.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2027 to FY2036**
Live WACC	**7.21% (2026-10-29)**
Terminal growth	**2.0%**
Diluted shares	**1.48 billion**

BUY

over $70.27 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Oligopoly (medtech). We assign a premium of +15% to sector median multiples on moat strength alone.

- niche leadership with regulatory/clinical barriers, ~65% share of the pulsed-field ablation (PFA) market exiting 2025, WATCHMAN left-atrial-appendage franchise, and 2026 organic growth guidance of 10-11% with adjusted EPS $3.43-$3.49 (+12-14%) (Q4 2025 earnings coverage, Feb 2026).
- Gross margin 68.3% (TTM to Sep 2025) / 68.8% (TTM to Dec 2025) per Simply Wall St / S&P data (2025-2026), with adjusted operating margin guided +50-75 bps in 2026 (Feb 2026 coverage). A ~68% gross margin sustained while absorbing tariffs is pricing-power evidence; the flat gross-margin guide is why this is Narrow, not Wide.
- The weakest element is share is contestable, management itself anticipates potential PFA share losses against competition even while growing above the expected 15% market rate, and 2026 gross margin is guided only "roughly in line" with 2025 as tariffs and supply-chain investment offset mix.

On a multiple cross-check, the justified range is 20.8-22.8x / 18.5-20.2x. The cross-check value is $62-$68 vs Base $70.22, spot $44.90, on a base of Framework base from the October 27 moat report. The gap verdict is No upward gap, DCF already above spot; cross-check near Base, well above spot.

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	Not disclosed
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	1 points
platform, channel, or distribution dependency	4 points
customer insourcing risk	1 points
regulatory single point risk	4 points

The combined discount is 15 percent, capped at 20 percent, against an uncapped total of 15 percent. Shown side by side with the moat premium or discount, the net stance is 0 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Arithmetic width 42% of gap; no causal claim

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Cardiovascular Platforms and Procedural Consumables BUY

Boston Scientific's core revenue engine remains concentrated in its cardiovascular division, which sells interventional cardiology, electrophysiology, and structural heart products directly to hospitals. In Q3 FY2025, cardiovascular demonstrated extraordinary organic growth of 19.4%, led by roughly 63% organic expansion in FARAPULSE and 35% organic growth in WATCHMAN, marking its fifth consecutive quarter of 35% growth. By Q4 FY2025, cardiovascular advanced 16.1% organically, supported by a 17% organic gain in US accounts and initial Japanese regulatory indications for FARAPULSE. While Q1 FY2026 and Q2 FY2026 witnessed deceleration to 11.2% and 7.8% organic growth, respectively, cardiovascular procedures represent the high-margin anchor of total enterprise cash generation.

In addition to cardiology, the firm maintains strong clinical presence across endoscopy and interventional product categories. During FY2025, MedSurg divisions demonstrated stable if more measured expansion, growing 7.6% organically in Q3 FY2025 and 6.5% organically in Q4 FY2025, with urology logging 3.2% organic growth. These complementary therapeutic lines provide essential recurring revenue from single-use consumable instruments across hospital clinical departments. Concurrently, neuromodulation has emerged as a high-growth adjacency, generating $318M in revenue during Q1 FY2026, reflecting a 15.4% organic increase supported by the integration of Nalu and Valencia assets.

Geographic diversification represents a critical operational pillar insulating the corporate top line from regional variations. While US electrophysiology account growth has encountered domestic competitive friction, international markets have demonstrated exceptional strength. In Q2 FY2026, the Asia-Pacific region delivered operational revenue growth of 11.2%, while Latin America and Canada expanded by 16.2% operationally. This offshore expansion demonstrates that institutional technology transfer into emerging hospital networks can effectively counterbalance temporary US market saturation.

What to monitor

- **Guidance trajectory and growth stabilization** Quarterly progress against the revised FY26 organic growth guidance of 5.0-6.0% and adjusted EPS targets of $3.28-3.32 will signal whether domestic procedural demand has established a firm operational floor.
- **Cardiovascular and electrophysiology procedural share** Stabilization of US WATCHMAN organic growth above the 3% level recorded in Q2 FY2026 alongside retention of hospital electrophysiology accounts in the face of rival ablation platforms.
- **Operating expense discipline and margin defense** Maintenance of adjusted operating margins near the 28.3% level achieved in Q2 FY2026 to ensure that operating income converts efficiently into cash flow despite revenue moderation.
- **Inorganic integration milestones** Commercial assimilation of Penumbra within interventional vascular suites alongside scaling clinical adoption across Axonics, Nalu, and Valencia portfolios.

+19.9%	69.0%	18.0%	17.0%	$9.47B	12.0%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$20.1B
Gross Profit	$13.9B
EBIT	$3.61B
Net Income	$2.90B
EBITDA	$5.10B
Free Cash Flow	$3.40B
Diluted EPS	$1.94
ROE	12.0%

Risk & moat matrix

The bear case

SHARE EROSION

Rival medtech entrants introducing alternative pulsed field ablation platforms have generated domestic market share friction, contributing to US electrophysiology share losses in Q2 FY2026. If domestic competitors further penetrate primary hospital catheter labs, cardiovascular organic top-line growth could decelerate below

M&A DIGESTION

Capital deployment toward large-scale acquisitions, notably the transaction announced for Penumbra alongside integrations of Axonics, Nalu, and Valencia, carries operational execution friction. Inability to extract anticipated commercial synergies

REGULATORY AND PRICING SCRUTINY

Hospital purchasing committees and public reimbursement authorities continue to exert pricing pressure across mature medical consumable categories. Any tightening in structural heart reimbursement codes could impede the monetization of therapeutic franchises such as

TECHNOLOGY DISRUPTION

Rapid technological advancement in electrophysiology requires continuous clinical trial validation. If competing catheter modalities challenge FARAPULSE clinical superiority, the business could face elevated product obsolescence risks across interventional cardiology suites.

REINVESTMENT TREADMILL

Maintaining procedural leadership requires substantial operational expenditure, as evidenced by operating expenses rising 11.4% and outpacing top-line revenue growth in Q1 FY2026. Persistent operational cost inflation would limit operating margin progression toward our terminal modeled targets.

WACC AND DURATION SENSITIVITY

Elevated capital costs across global markets impact asset valuations across long-duration medtech cash flow bridges. Any adverse shift in the 7.21% WACC would contract discounted terminal cash flows and depress equity valuation multiples.

our 3.0% bear forecast.	across hospital procurement networks could suppress operating margin expansion.	WATCHMAN FLX.			

The strengths

OLIGOPOLY POSITION

Boston Scientific operates as a dominant medical device supplier across hospital cardiology, endoscopy, and interventional departments. High barriers to entry and clinical protocol lock-in protect core procedural volumes from generic displacement.

FCF COMPOUNDING

The enterprise generated $3.40B in free cash flow during FY2025 on $20.1B in sales, achieving a 17.0% cash conversion margin. Strict cost discipline that pushed adjusted operating margin to 28.3% in Q2 FY2026 ensures robust ongoing cash generation.

GEOGRAPHIC DURABILITY

Double-digit operational expansion across non-domestic territories, including 11.2% growth in APAC and 16.2% in LACA during Q2 FY2026, provides vital geographical diversification. Emerging procedural adoption effectively hedges against domestic US procedural deceleration.

PIPELINE OPTIONALITY

Rigorous clinical datasets such as the ADVENT trial and CHAMPION-AF trial establish deep therapeutic moats around FARAPULSE and WATCHMAN. Strategic expansions into thrombectomy via Penumbra and neuromodulation via Nalu and Valencia expand long-term addressable markets.

The bottom line on risk and reward

The recent market derating of Boston Scientific shares to $42.22 reflects excessive fixation on near-term growth guidance moderation, ignoring the underlying cash profitability of the global medtech platform. Management demonstrated responsible stewardship by resetting FY26 organic growth expectations to 5.0-6.0%, effectively derisking consensus estimates while expanding adjusted operating margin to 28.3% through disciplined administrative cost control.

Trading at 3.1x latest fiscal year sales and 21.8x historical diluted earnings, the current equity valuation presents an exceptional risk-reward profile for long-term institutional capital. Our valuation framework establishes that even in an adverse bear scenario of 3.0% top-line compounding, the equity yields a target of $52.13, offering +23.5% upside against prevailing

trading levels. In our baseline scenario, which models moderate 5.0% revenue growth and 22.1% free cash flow margins, the fair value stands at $68.38.

Accounting for upside potential in the bull case target of $92.20, our probability-weighted blended target of $70.27 implies an upside of +66.4% from the reference spot price. Supported by robust balance sheet fundamentals, defensive hospital end markets, and sustained international market growth, Boston Scientific remains an outstanding core holding for medtech investors. We reiterate our high-conviction Buy rating.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Cardiology and Electrophysiology Platforms: Global Category Leadership

Boston Scientific's cardiovascular division serves as the foundational pillar of the enterprise's clinical and financial architecture. The franchise encompasses market-leading technologies in left atrial appendage closure with WATCHMAN and pulsed field ablation systems anchored by FARAPULSE. These platforms are sold directly to hospital catheterization labs and electrophysiology suites, where they command strong procedural loyalty among electrophysiologists and interventional cardiologists. In FY2025, rapid commercialization of these product lines enabled total corporate revenues to expand 19.9% reported and 15.8% organically, surpassing the $20B annual revenue milestone.

The operational cadence throughout FY2025 demonstrated the immense commercial power of the electrophysiology supercycle. In Q3 FY2025, cardiovascular revenues expanded 19.4% organically, powered by an exceptional ~63% organic surge in global FARAPULSE sales and a 35% organic increase in WATCHMAN, marking its fifth consecutive quarter compounding at that rate. Adjusted EBITDA margins reached 30.1% during the quarter as procedural scale generated favorable fixed-cost absorption across specialized manufacturing lines. In Q4 FY2025, cardiovascular sustained a 16.1% organic growth rate, with domestic US sales rising 17% and international market authorization expanding into Japan.

The competitive environment shifted into FY2026 as rival medtech companies introduced competitive electrophysiology solutions, creating domestic share friction. In Q1 FY2026, cardiovascular organic growth moderated to 11.2%, prompting management to lower full-year organic projections. This deceleration deepened in Q2 FY2026, where cardiovascular organic growth slowed to 7.8% as US WATCHMAN organic growth registered 3% alongside documented US electrophysiology share losses. Management responded by cutting full-year organic growth guidance to 5.0-6.0% and deploying capital into a $2B accelerated buyback to protect per-share earnings.

Despite near-term growth moderation in US accounts, the clinical and structural foundation of the cardiovascular business remains rock solid. Decisive randomized clinical trial outcomes

continue to validate the franchise's superiority over legacy technologies. The four-year ADVENT trial results demonstrated long-term FARAPULSE superiority over thermal ablation, while the CHAMPION-AF trial confirmed WATCHMAN FLX as superior as first-line therapy. Supported by double-digit expansion across Asia-Pacific and Latin America, Boston Scientific retains the essential technological and clinical assets necessary to compound cash flows well into the next decade.

What the recent record shows

- Cardiovascular delivered 19.4% organic growth in Q3 FY2025 with FARAPULSE expanding ~63% and WATCHMAN achieving 35% organic growth for the fifth straight quarter.
- Full-year FY2025 net sales crossed $20B (+15.8% organic), with Q4 cardiovascular sales advancing 16.1% organically and securing a new indication in Japan.
- Consecutive FY26 guidance cuts lowered full-year organic revenue growth expectations to 5.0-6.0% as Q2 FY2026 cardiovascular growth slowed to 7.8% and US WATCHMAN grew 3%.
- Capital allocation balanced strategic M&A, including the Penumbra acquisition for thrombectomy entry, with defensive balance sheet deployment via a $2B accelerated buyback.

> **Our read:** The market has excessively penalized Boston Scientific for a natural normalization in cardiovascular product growth following unprecedented multi-year expansion. Strong international execution, clinical data dominance, and disciplined cost control preserve corporate cash flow compounding, making current valuation levels an exceptional entry point for long-term investors.